

2.1

Economic growth

Explain:

- Economic growth
- The policy objective of economic growth
- The different stages of the economic cycle
- Real and nominal Gross Domestic Product (GDP); changes in GDP over time

Explain and calculate:

- Economic growth rates
- GDP per capita

Explain, with the aid of a diagram:

- Short run and long run economic growth

Evaluate:

- Causes and consequences of economic growth in the short run and long run